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Restaurant surcharges could remain legal in California under last-minute bill

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Sen. Bill Dodd, D-Napa, is introducing new legislation Thursday that would allow California restaurants to continue to charge automatic fees to diners, potentially reversing part of a controversial state law that will otherwise make them illegal in just three weeks.

Senate Bill 1524 would merely require restaurants to disclose any additional fees, such as automatic service charges, "clearly and conspicuously" on menus or "other displays," as is current practice for many food businesses.

It's meant to clarify how Senate Bill 478, the state's new "junk fees" law that passed last year and is set to kick in July 1, applies to restaurants after an outcry from the industry. SB 478 prohibits businesses from charging hidden fees or burying added costs to artificially lower prices, such as for concert tickets or hotel rooms.

"Restaurant customers shouldn't be surprised when they get their checks by a boatload of extra charges they're not expecting," said Dodd, who also co-authored the junk fees law. "Many restaurants are upfront with their business practices but too many aren't, necessitating action. This proposal will level the playing field for all restaurants and address confusion and disagreement about what is permissible under state law."

The California attorney general's office said in April that the junk fees law would apply to surcharges at restaurants, ending months of confusion on the subject. But Dodd's new legislation would create an exemption for restaurants, declaring that the hidden fees ban does not apply to food or beverage items sold by a "restaurant, bar, or other food service provider," including banquet or catering services, as long as any mandatory fees are transparently listed.

Dodd's proposed bill offers an 11th-hour hope to restaurateurs, who have been raising alarm bells with legislators, lobbyists and the public about the harm they believe banning surcharges would cause. They argue the change would lead to higher prices for diners and pay cuts for restaurant workers, and would walk back progress that's been made in recent years toward tipless business models. But the proposed bill is sure to spark opposition from consumers, who have largely cheered the elimination of restaurant surcharges.

Dodd's office said it crafted the new legislation with input from the California Restaurant Association, which has opposed SB 478, and Unite Here, a national hospitality labor union. In a statement, the California Restaurant Association said both groups support the proposed bill.

"This will enable restaurants to continue to support increased pay equity and to make contributions to worker health care and other employee benefits," Matthew Sutton, the restaurant association's senior vice president of government affairs and public policy, said in a press release. "And, importantly, consumers will remain empowered to make informed choices about where they choose to dine out."

Sen. Scott Wiener, D-San Francisco, and Assemblymember Jesse Gabriel, D-Encino, co-authored the new bill.

"Restaurants are vital to the fabric of life in California, and they should be able to cover costs as long as they do so transparently," Wiener said in the press release. "SB 1524 clarifies portions of the law that pose a serious threat to restaurants. The bill strikes the right balance between supporting restaurants and delivering transparency for consumers, and I'm proud to support it."

Last week, Wiener spoke to a group of about 65 restaurant owners from across the state during a virtual town hall meeting on the surcharges ban, hosted by San Francisco restaurant consulting group New Deal Hospitality.

After the meeting, New Deal Hospitality CEO Bevan Bunch said: "Most of our clients are moving forward with preparing for the worst and hoping for the best."

Dodd's new bill will have to pass through both the state Senate and Assembly before heading to Gov. Gavin Newsom's desk. It would have to do so on an accelerated timetable, since the deadline for new bills for the year has passed. Dodd's bill is what's known as a gut-and-amend, in which an existing bill is gutted and replaced with a new measure. It's labeled as an urgency measure, which means if approved it would take effect immediately.

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